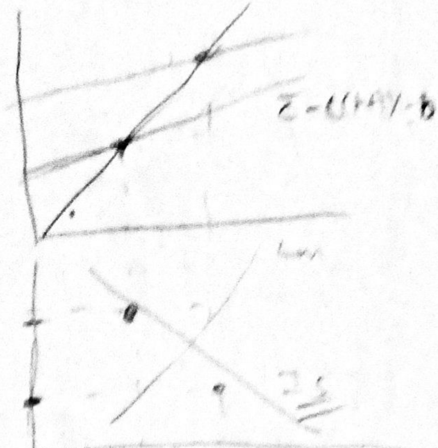
HS 125 Mid Semester Examination

F.M.: 40



Answer any 4 questions (4×10=40):

1. How can certain measures of fiscal policy help in automatically stabilizing the economy through their influence on the simple Keynesian multiplier?

2. Explain the concept of balanced budget multiplier.

3. How can you derive the aggregate demand schedule using the IS-LM equilibrium?

4. What determines the slope and position of the LM curve?

5. What is budget surplus? How do increased government purchases affect the budget surplus?